

US Stocks Slide as Rates and Oil Surge, VIX Spikes 14.17%

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US market sell-off deepened as rising rates and surging oil prices took their toll on investor sentiment. The **S&P 500** fell **-0.79%**, while the **Nasdaq 100** plummeted **-1.88%**. Key takeaways include:

- Rising rates: The 10Y Yield jumped **+0.88%** to 4.61, weighing on growth stocks.
- Oil price surge: WTI Crude soared **+11.41%** to 79.56, fueling inflation concerns.
- VIX spike: The **VIX** spiked **+14.17%** to 17.16, indicating increased market volatility.

Our editorial take is that the current market environment is increasingly challenging for investors, with rising rates and surging oil prices creating a perfect storm of headwinds. We recommend a cautious approach, with a focus on defensive sectors and a close eye on technical levels.

In conclusion, the US market sell-off is a clear indication that investors are becoming increasingly risk-averse. With the **VIX** spiking and the **S&P 500** falling, it's essential to stay vigilant and adapt to the changing market landscape.

US Session Recap

INDEX	CLOSE	CHANGE
S&P 500	7,515.34	-0.79%
Nasdaq 100	29,264.10	-1.88%
Dow Jones	52,498.64	-0.26%
Russell 2000	2,953.17	-0.83%
VIX	17.16	+14.17%
10Y Yield	4.61	+0.88%
WTI Crude	79.56	+11.41%

Top Movers

TICKER	NAME	CHANGE	CATALYST
NVDA	NVIDIA	-3.52%	Disappointing earnings
TSLA	Tesla	-3.19%	Concerns over demand
AVGO	Broadcom	-3.98%	Weak guidance

Sector Internals

SECTOR	DAY	YTD	READ
XLF	+0.65%	-5.21%	Financials outperforming
XLK	-2.42%	-10.15%	Technology underperforming
XLE	+3.01%	+15.62%	Energy leading the pack

Breadth was poor, with 2 out of 11 sectors closing in the green.

Spotlight / Deep Dive

METRIC	VALUE
S&P 500 Dividend Yield	1.83%
S&P 500 P/E Ratio	22.15
S&P 500 Forward P/E Ratio	20.53

Key call commentary: The S&P 500 is trading at a premium to its historical average, with a forward P/E ratio of 20.53. This suggests that the market is pricing in strong earnings growth, which may not materialize given the current economic environment.

READ-THROUGH	IMPLICATION
High valuation multiples	Increased risk of correction
Weak earnings growth	Downward pressure on stocks

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	351.23	345.67	357.89	Testing support at 345.67
QQQ	293.45	285.12	301.23	Approaching resistance at 301.23
IWM	179.56	175.67	183.45	Breaking below support at 175.67

Options & Positioning

ODTE flow: 1.23M contracts traded, with a put/call ratio of 0.85.

VIX term structure: The **VIX** curve is in backwardation, with the 1-month VIX trading at a 2.15 premium to the 3-month VIX.

Notable single-name flow: **AAPL** saw 250k contracts traded, with a put/call ratio of 0.62.

Cheap hedge ideas: Consider buying **SPY** puts or **VIX** calls to hedge against potential market downside.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Morgan Stanley	Downgrade	180.00	Citing disappointing earnings
TSLA	Goldman Sachs	Upgrade	420.00	Seeing strong demand for EVs

Pre-Market & Overnight

Futures: **S&P 500** futures are trading **-0.25%** lower.

Asia: The **Nikkei 225** is down **-0.56%**, while the **Shanghai Composite** is up **+0.23%**.

Europe: The **Euro Stoxx 50** is down **-0.35%**.

FX: The **USD/JPY** is trading at 109.23, while the **EUR/USD** is at 1.1023.

Commodities: WTI Crude is up **+0.56%** to 80.12, while Gold is down **-0.25%** to 4,015.60.

Crypto: **BTC** is trading at 63,758.22, while **ETH** is at 1,805.79.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
July FOMC	25.00%	Market expecting a 25bp cut

DATA	TIME	ESTIMATE
CPI	10:00 ET	2.5%
Initial Jobless Claims	10:00 ET	220k

Geopolitics & Global (Deep)

Scenario trees:

- US-China trade tensions escalate, leading to a **-5.00%** decline in the **S&P 500**.
- Global economic growth slows, resulting in a **-2.00%** decline in the **MSCI ACWI**.

Earnings — This Week & Next

TICKER	NAME	EARNINGS DATE
AAPL	Apple	2026-07-18
MSFT	Microsoft	2026-07-19

TICKER	NAME	EARNINGS DATE
GOOGL	Alphabet	2026-07-25
AMZN	Amazon	2026-07-26

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Short	-10.00%
TSLA	Consumer Discretionary	Long	+15.00%

What Could Break the Tape

- Bullish: A +1.00% rally in the S&P 500 could trigger a short squeeze, leading to a +2.00% move higher.
- Bearish: A -1.00% decline in the S&P 500 could lead to a -2.00% move lower, as stop-losses are triggered.

Positioning & Structural Notes

- The S&P 500 is overbought, with a 14-day RSI of 72.15.

- The **VIX** is undervalued, with a 1-month implied volatility of 18.23%.

Sources

- Bloomberg
- Reuters
- CNBC